



ZIMBABWE SCHOOL EXAMINATIONS COUNCIL

General Certificate of Education Advanced Level

ECONOMICS

PAPER 1 Multiple Choice

6073/1

JUNE 2020 SESSION

1 hour 30 minutes

Additional materials:

Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

Calculators

TIME 1 hour 30 minutes

INSTRUCTIONS TO CANDIDATES

Do not open this booklet until you are told to do so.

Write your name, Centre number and candidate number on the answer sheet in the spaces provided unless this has already been done for you.

There are **forty** questions in this paper. Answer **all** questions. For each question there are four possible answers, **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in **soft pencil** on the separate answer sheet provided.

Read very carefully the instructions on the answer sheet.

Calculators may be used.

INFORMATION FOR CANDIDATES

Each correct answer will score one mark. A mark will **not** be deducted for a wrong answer. Any rough working should be done in this booklet.

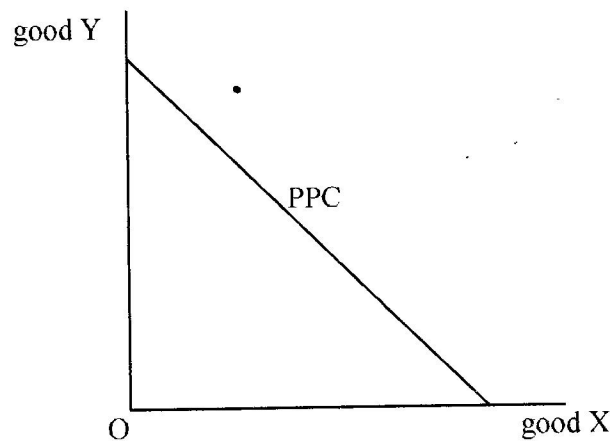
This question paper consists of 14 printed pages.

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1 Productive efficiency is achieved when

- A a firm is producing on the lowest point of its average cost curve.
- B there are no future opportunities of substituting labour for capital.
- C all factors of production are fully employed.
- D the firm is maximizing profits.

2 The diagram shows a production possibility curve (PPC) for country Z producing two goods X and Y.



As one moves from left to right along the PPC, opportunity cost _____

- A remains constant.
- B is unitary.
- C increases.
- D falls.

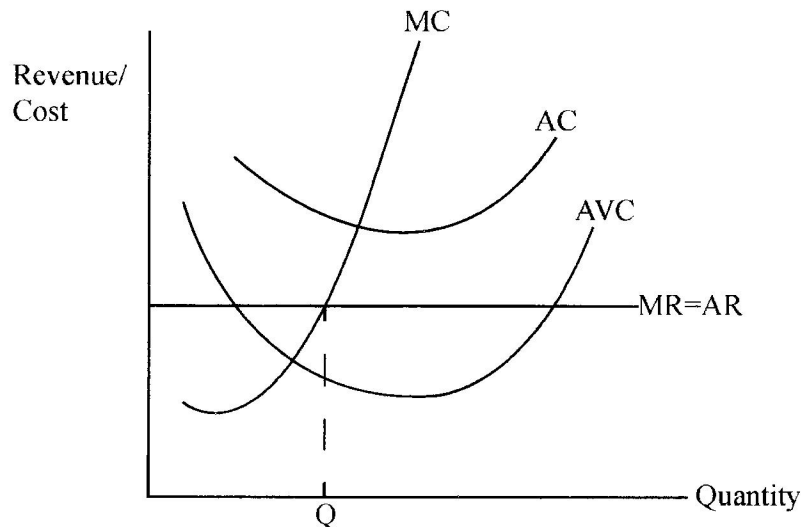
3 A free market economy has the following characteristics except that

- A competition ensures that low cost methods of production replace high cost methods of production.
- B market forces allocate resources equally among different sectors of the economy.
- C cost of factors of production depends on factor abundance.
- D there is consumer sovereignty.

- 4 Reducing unemployment is a more desirable objective than pursuing economic growth. This statement is an example of
- A normative economics.
 - B objective economics.
 - C positive economics.
 - D reality economics.
- 5 Which of the following are characteristics of a public good?
- B It is non- excludable and non – rivalrous.
 - A It is non- rivalrous and diminishable.
 - C It is rivalrous and non- diminishable.
 - D It is rivalrous and excludable.
- 6 The supply curve is given by the formula

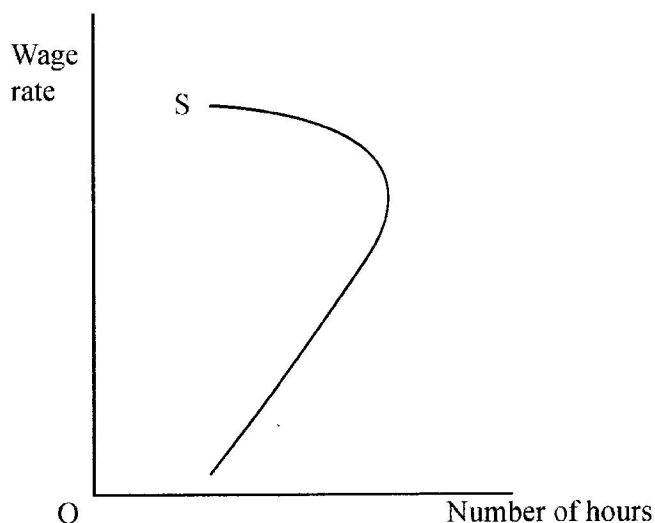
$$Q_s = 5P_x$$
Where Q_s is the quantity supplied:
 P_x is the price of good x.
What can be deduced about the price elasticity of supply of the goods?
- A It is equal to 0.
 - B It is equal to 0.5.
 - C It is equal to 1.
 - D It is equal to 5.
- 7 A A consumer is exposed to two goods only which are X and Y and whose prices are P_x and P_y respectively.
The utility theory of consumer behavior states that the consumer will purchase units of X and Y until
- A $MU_x P_x = MU_y P_y$.
 - B $\frac{MU_x}{P_y} = \frac{MU_y}{P_x}$.
 - C $\frac{MU_x}{P_x} = \frac{MU_y}{P_y}$.
 - D $MU_x = MU_y$.

- 8 Which of the following should be deducted from a firm's revenue in order to get an economic profit?
- A implicit cost plus explicit cost
 - B implicit cost plus sunk cost
 - C explicit costs only
 - D implicit costs only
- 9 The diagram shows the cost and revenue curves of a firm under perfect competition in the short-run. What can be deduced from this diagram?



- A The firm has reached shut down point.
 - B The firm is making a loss in its production activities.
 - C The firm is making abnormal profit.
 - D The firm is making normal profits.
- 10 Select the statement which describes the relationship between Marginal Product and Average Product.
- A Whenever marginal product is greater than average product, average product is rising.
 - B Marginal product and average product reach their maximum at the same time.
 - C Whenever marginal product is falling, average product is also falling.
 - D Diminishing average returns set in earlier than diminishing marginal returns.

- 11 The least contestable market structure is
- A Monopolistic competition.
 - B Perfect competition.
 - C Oligopoly.
 - D Monopoly.
- 12 When price of an inferior good falls, the income and substitution effect can be explained as
- A the substitution effect is positive and the income effect is positive.
 - B the positive substitution effect outweighs the income effect.
 - C the positive substitution effect re-inforces the positive income effect.
 - D the positive substitution effect, re-inforces the negative income effect
- 13 The diagram shows a labour supply curve for an individual.

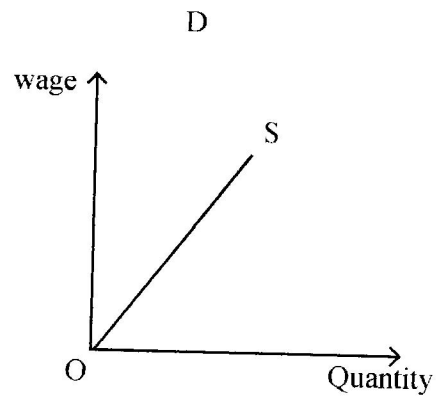
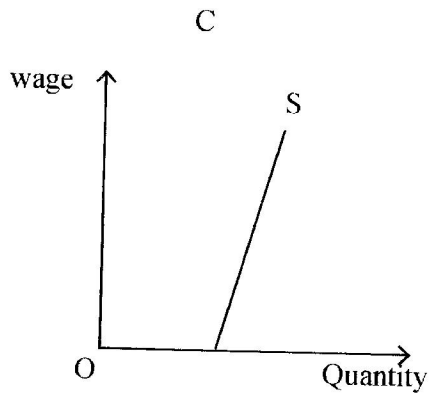
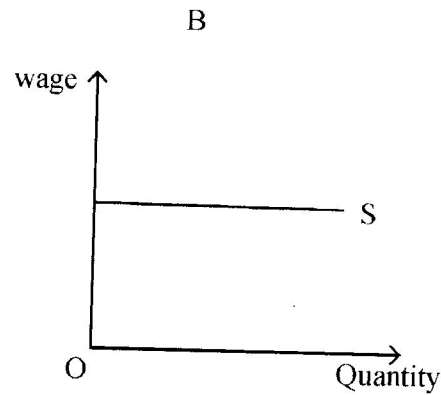
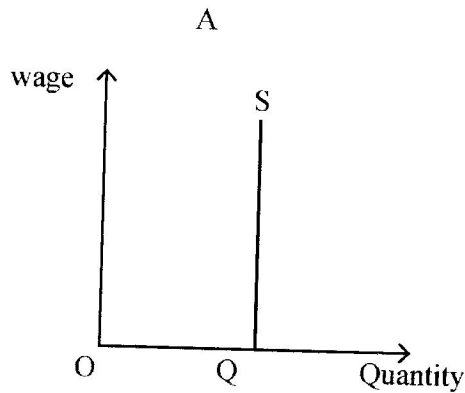


The reason why it is regressive is that

- A as people move towards their retiring age, they supply less labour
- B beyond a certain wage rate higher earnings are no longer an incentive as the labour force values more leisure hours
- C the income and substitution effect are both negative at higher wage rates
- D the income and substitution effect are both positive at higher wage rates

- 14 Why might a monopoly firm practice price discrimination?
- A to maximize profits
 - B to achieve productive efficiency
 - C to turn part of customers surplus into producer surplus
 - D to achieve allocative efficiency
- 15 A farmer employs 10 workers at a daily wage rate of \$7.00 per worker. Later he employed the 11th worker and increased the wage rate to \$7.50
- What is the marginal cost of employing the 11th worker?
- A \$0.50
 - B \$7.00
 - C \$7.50
 - D \$12.50
- 16 Which are financial institutions that specialize in mortgage loans?
- A Building societies
 - B Commercial banks
 - C Discount houses
 - D finance houses
- 17 According to the liquidity preference theory, when will an increase in money supply have no effect on output?
- A when the liquidity trap is operative
 - B when the increase in money supply was anticipated
 - C when consumers adjust quickly to anticipated future prices
 - D where there is an increase in interest rates

- 18 The graphs below show supply of labour in an industry.

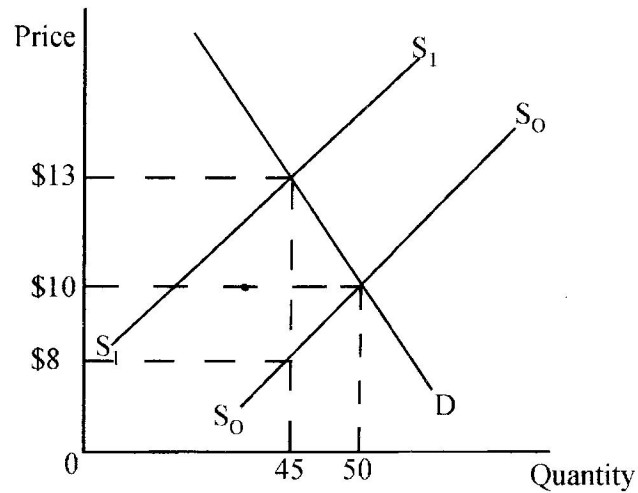


Which one of the above graphs shows the supply of farm labours?

- 19 The accelerator principle of investment states that

- A investment is a function of the rate of change of income.
- B investment is determined by the supply of the domestic currency.
- C investment is determined by future business expectations.
- D investment is a function of the rate of interest.

- 20 The government imposes a unit tax on a product resulting in the supply curve shifting from S_0 to S_1 as shown in the diagram.



What is the unit tax charged by the government?

- A \$13
 - B \$10
 - C \$5
 - D \$3
- 21 In a cartel
- A firms engage price wars leading to survival of the fittest.
 - B firms collude and operate as a monopoly.
 - C firms engage in non price competition.
 - D firms are in stiff competition with each other.
- 22 The following are instruments of monetary policy except
- A open market operation.
 - B moral suasion.
 - C interest rate.
 - D income tax.

- 23 One of the following drawbacks of economic integration is
- A trade diversion.
 - B trade creation.
 - C common agricultural policy.
 - D single currency.
- 24 To convert GDP at market price to GNP at factor cost,
- A add taxes, subtract subsidies and add net property income from abroad.
 - B add subsidies, subtract taxes and add net property income from abroad.
 - C add taxes, subtract subsidies and subtract depreciation.
 - D add subsidies, subtract taxes and subtract depreciation.
- 25 An example of disequilibrium unemployment is
- A cyclical unemployment.
 - B frictional unemployment
 - C structural unemployment.
 - D seasonal unemployment.
- 26 Which item is included in the current account of the Balance of Payment?
- A Direct investment
 - B Investment income
 - C Portfolio investment
 - D Reserve assets
- 27 Excessive borrowing by the government from domestic banks leads to
- A crowding out the private sector.
 - B a decrease in the money supply.
 - C closure of banks.
 - D liquidity crunch.
- 28 The GDP of most developing countries is greater than GNP. This is because
- A factors of production are less mobile in developing countries
 - B domestic interest rates are higher than world interest rates
 - C their net property income from abroad is negative
 - D their investment in other countries is very high

- 29 The government wants to implement policy mix where by contractionary fiscal policy is combined with expansionary monetary policy.

How can this be achieved?

	GOVERNMENT EXPENDITURE	INTEREST RATE	TAXATION
A	decrease	decrease	decrease
B	decrease	decrease	increase
C	increase	increase	increase
D	increase	increase	decrease

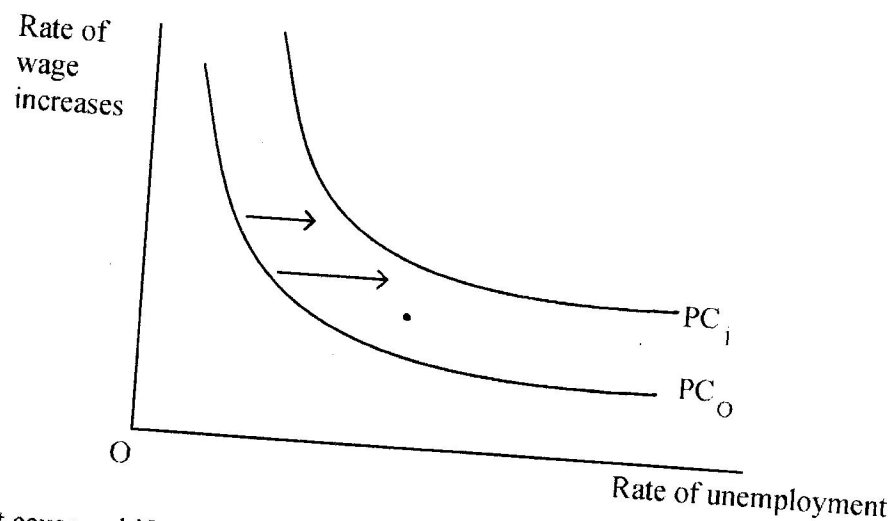
- 30 The effect of domestic inflation on the country's exchange rate is a

- A rise or fall in domestic inflation has no effect on the exchange rate.
- B fall in domestic inflation leading to an increase in the exchange rate.
- C rise in domestic inflation leading to a rise in exchange rate.
- D fall in domestic inflation leading to a fall in the exchange rate.

- 31 What is the effect of the imposition of a tariff on imported goods?

- A The domestic price of the imported goods will rise.
- B Foreign production of the good is stimulated.
- C The domestic price of goods will fall.
- D Foreign employment will rise.

- 32 The diagram below shows the short run Phillips curve.



What cause a shift of the curve from PC_0 to PC_1

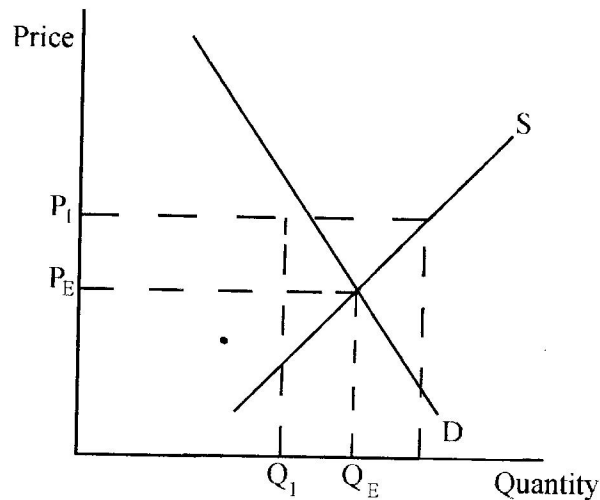
- A an expectation of higher rate of inflation
 - B an increase in the unemployment rate
 - C a reduction in the number of workers belonging to a trade union
 - D an increase in both inflation and unemployment
- 33 The table below shows the relationship between an exchange rate and the account balance of a country over a period of six years.

Year	Exchange rate \$/R	Current account Balance (\$ million)
1	10	-5
2	14	-8
3	14	-4
4	14	-1
5	14	0
6	14	+3

The concept illustrated by the table is

- A depreciation of an exchange rate.
- B exchange rate appreciation.
- C purchasing power parity.
- D The J- curve effect.

- 34 Study the diagram below and answer the questions which follow.

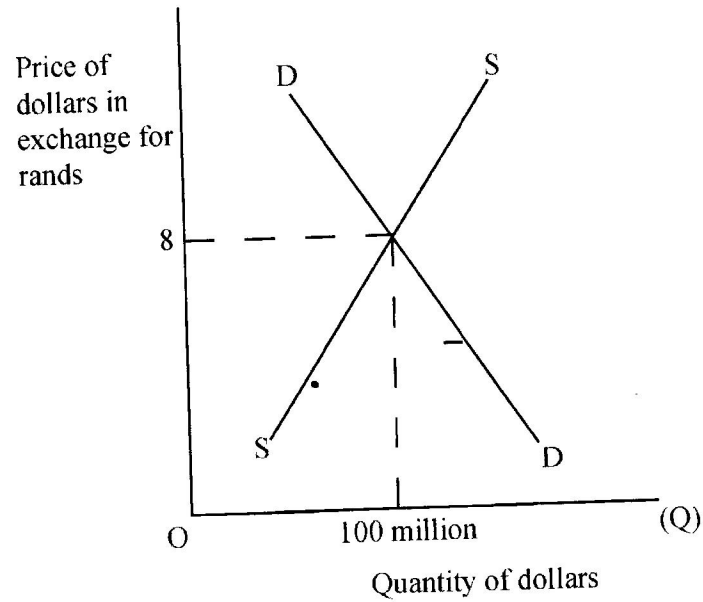


If the government sets the price at P_1 , then

- A there will be excess supply of beans.
 - B there will be excess demand for beans.
 - C the supply curve for beans will shift to the left.
 - D the demand curve for beans will shift to the right.
- 35 The main advantage of using secondary data is that the
- A researchers may have to collect data from primary sources if it is not yet available.
 - B data will be used for purposes other than for which it was collected.
 - C researcher is aware of the extent of accuracy of the data.
 - D researcher can get the data in published form.
- 36 A business owner observed the daily patronage of clients into his shop for six days as follows
 15, 19, 14, 18, 19 and 16.
 What is the median patronage into the shop?
- A 14
 - B 16
 - C 17
 - D 19

- 37 Which business type is found in the public sector of the economy in Zimbabwe?
- A public limited company
 - B parastatal
 - C partnership
 - D co operatives
- 38 Holding other things constant what happens to purchasing power when inflation falls by 50%?
- A It falls by 50%.
 - B It increases by 50%.
 - C It falls by 100%.
 - D It increases by 100%.
- 39 Terms of trade is favourable when
- A the volume of its exports is increasing more than the volume of its imports
 - B there is a fall in both its imports and export prices
 - C export prices fall faster than import prices
 - D export prices rise faster than import prices

- 40 The graph below shows the demand and supply curve for dollars in exchange for rands.



What is the exchange rate shown above?

- A \$100 = 1 Rand
- B \$100 = 8 Rands
- C \$8 = 1 Rand
- D \$1 = 8 Rands